Socialist logic is based on the idea that human needs, rather than profit, should govern what and how much is produced. In a democratic system, the decision-making process is in the hands of the population, through various forms of democratic mechanisms like the election of representatives, or town meetings. In an autocratic system, governing elites may make the decisions about production. Either way, though, the decisions are based not on how much potential profit can be made by producing something, but rather on what needs it fills. This is why socialist governments make economic plans and production goals.

Of course governments – especially non-democratic governments – can be arbitrary and unrealistic in setting production priorities. Like Stalin in the USSR or Mao in China, they can prioritize a long-term goal of industrialization above the short-term need for the population to feed itself, leading to social and economic catastrophe. But capitalism is no guarantee against famine and economic disaster either. In twentieth-century Africa, most famines have been caused by capitalism rather than by socialism. A system of supply and demand leads countries to export food to wealthy consumers in the First World while their impoverished citizens starve.

But if the strength of the socialist logic is in distribution, its weakness is in production. Specifically, if everybody's needs are guaranteed, what's the incentive to work, and to push oneself to increase production? Socialist systems have come up with two answers to this. One is to mix in an element of capitalist logic. Many socialist systems guarantee certain basic needs, but leave other aspects of consumption to the free market. The other is Che Guevara's idea of moral incentives. According to Che, humans have been shaped by capitalism to value greed and consumption. But we are also capable of being motivated by unselfish goals – by the desire to contribute to and participate in one's society.

Most people in both capitalist and socialist societies can recognize both elements in themselves. Most of us seek both material comforts and possessions *and* some kind of more meaningful fulfillment in our lives. Che's argument is that while capitalism fosters materialism, socialism should instead foster unselfish, participatory values.